

THE INVEST *igator*

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Morgan Housel's "Little Rules"

A compilation of little rules about big things in investing and life.

- ✓ **Everyone belongs to a tribe and underestimates how influential that tribe is on their thinking.**
- ✓ **A lot of financial debates are just people with different time horizons talking over each other.**
- ✓ **If your expectations grow faster than your income, you'll never be happy with your money no matter how much you accumulate.**
- ✓ **Having no FOMO [Fear of Missing Out] might be the most important investing skill.**
- ✓ **A big takeaway from economic history is that the past wasn't as good as you remember, the present isn't as bad as you think, and the future will be better than you anticipate.**
- ✓ **Pessimism always sounds smarter than optimism because optimism sounds like a sales pitch while pessimism sounds like someone trying to help you.**
- ✓ **Every past decline looks like an opportunity and every future decline looks like a risk.**
- ✓ **Getting rich and staying rich are different things that require different skills.**
- ✓ **Money's greatest intrinsic value is its ability to give you control over your time.**
- ✓ **Napoleon's definition of a military genius was "The man who can do the average thing when everyone else around him is losing his mind." It's the same in business & investing.**
- ✓ **There is an optimal net worth for most people, after which not only does happiness stop increasing but more money becomes a social and psychological liability. The number is different for everyone, but is probably lower than most people think.**

- ✓ **Most people are good at learning facts but not great at learning rules – the broad lessons from events that will apply to future events.**
- ✓ **Most financial mistakes happen when you try to force things to happen faster than it is required. Compounding hates interference.**
- ✓ **It's hard to tell the difference between boldness and recklessness, greed and ambition, contrarian and wrong.**
- ✓ **Risk management is less about how you respond to risk and more about recognizing how many things can go wrong before they actually do.**
- ✓ **Housing is often a liability in disguise of a safe asset.**
- ✓ **Emotions can override any level of intelligence.**
- ✓ **Small risks are overblown because they're easy to talk about, big risks are discounted and ignored because they seem preposterous before they arrive.**
- ✓ **No one is thinking about you as much as you are.**
- ✓ **Read fewer forecasts and more history. Study more failures and fewer successes.**
- ✓ **People forget that bubbles form and burst about once a decade.**
- ✓ **You can't believe in risk without also believing in luck because they are fundamentally the same thing— an acknowledgment that things outside of your control can have a bigger impact on outcomes than anything you do on your own.**
- ✓ **Risk's greatest fuels are leverage, overconfidence, ego, and impatience. Its greatest antidote is having options, humility & patience.**
- ✓ **Everything is sales.**

[Morgan Housel is author of book "The Psychology of Money" which has sold over 4 million copies.]

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SWAP Global Ventures Pvt. Ltd.

AMFI Registered Mutual Fund Distributor

VCA Complex, Civil Lines, NAGPUR – 440 001

0712-6641166/67, 9372693725

Email : swapconsultants@yahoo.com Website: www.swapglobalventures.com